

Internet Giants of the 21st Century Economy

Reading Comprehension Text — HSG C1 English Written Exam Practice

The rise of digital technology has given birth to a new breed of corporate behemoth: the internet giant. Companies such as Alphabet (Google), Amazon, Apple, Meta, and Microsoft — collectively known as ‘Big Tech’ or ‘GAFAM’ — have grown from modest start-ups into some of the most powerful businesses in human history. Their dominance spans search engines, social media, e-commerce, cloud computing, and consumer electronics, touching nearly every aspect of daily life.

The economic impact of these corporations is staggering. Together, GAFAM companies have at various points exceeded the total GDP of most nations, with combined market capitalisations surpassing several trillion dollars. Their business models, often built around data collection, targeted advertising, and platform ecosystems, have proven extraordinarily lucrative.

However, this extraordinary success has also sparked growing unease. Critics argue that these companies exercise a form of monopoly power that stifles competition and innovation. Small businesses are often forced to operate within the ecosystems these giants control — paying fees, following their rules, and competing directly against them. Regulators in the United States, European Union, and elsewhere have launched antitrust investigations and imposed substantial fines.

A further concern is these companies’ relationship with personal data. Internet giants harvest vast quantities of information about their users — their preferences, movements, communications, and behaviours — which they use to sell highly targeted advertising. Privacy advocates warn that this creates an asymmetric relationship in which consumers surrender enormous amounts of personal data, often without fully understanding what they are consenting to.

Despite these tensions, the economic contribution of internet giants to innovation should not be understated. These firms have driven breakthroughs in artificial intelligence, cloud infrastructure, renewable energy, and logistics. Their investment in research and development dwarfs that of many governments, and the technologies they develop filter down into other industries and raise productivity across the economy.

The central question for policymakers is how to ensure that the benefits of these platforms remain broadly shared while their more damaging tendencies are checked. Whether through taxation, regulation, or structural reform, governing internet giants will be one of the defining economic and political challenges of the coming decade.

